Canon

CANON MEXICANA, S. DE R.L. DE C.V.

TITULO: **PRODUCT POLICY BISG**					
REF: CONPRODBISG-001/18	EFFECTIVE START			VERSION	PAGE 1 OF 11
	DAY	MONTH	YEAR		
	24	05	18	**1 .0**	

OBJECTIVE

To ensure that each BISG employee knows the guidelines of the area in order to accomplish our objectives in a timely manner.

SCOPE

This policy is addressed to the different BISG departments that are related to the Product Control area.

FORECAST

Dealers

1. *Canon Equipment*

1.1 It must be done twice a month according to the schedule established at the beginning of each year by the Product area.

- In the first Forecast meeting, which will take place between the 24-27 business days of each month, sales will share the number of units and models negotiated for the sale of the next two months (regular sale and on-demand equipment, tenders and special businesses).
- Regular sales teams that are not in tenders or special businesses will be taken into account within the next month's PO1.
- For the purchase of under request equipment, tenders and special businesses, it is necessary to accomplish with the requirements established in the purchase policy for under request equipment.
- The Forecast of the following two months can be modified in the meeting to confirm the PO2 of the current month, this meeting will take place between the days 11-13 working days of each month.
- It is necessary that each sales executive confirm their attendance, thru an attendance sheet that they must sign.

ELABORATED:	REVIEWED:	AUTHORIZED:
Adalila Gomez	**Sandra Alvarado**	**Claudia Rodriguez**
Analyst	**Supervisor**	**Manager**
Product Control BISG	**Product Control BISG**	**Product Control BISG**
DATE: 25/05/2018	DATE: 25/05/2018	DATE: 25/05/2018

- In case of not being able to attend, it is necessary that they notify in advance and share the required units with the Product Control area via email no later than the date in which the meeting will be held, if this does not happen for regular sales equipment the availability of the inventory will be subject to stock in our warehouse and for under request equipment, tenders and special businesses will be subject to the availability of the inventory at CUSA (and will apply extemporaneous urgent orders since we may not have the inventory)

1.2 All units shared by the sales area will be reflected within the PSI (Jikkei) that is shared with CUSA at the beginning of each month.

EBSS (Enterprise Business Solution Sales)

2. Canon Equipment

2.1. It must be done twice a month according to the schedule established at the beginning of each year by the Product area.

- In the first Forecast meeting which will take place between the 24-27 business days of each month, sales will share the number of units and models of the businesses with a probability of sale of 80% (equipment for regular sale and on request, tenders and special businesses) which are shared with CUSA to know the availability of those items. Also, during this meeting, the items that are reserved and the progress of each business will be reviewed with each sales executive.

- In the second Forecast meeting which will take place between the 11-13 working days of each month, the status of the reserved items and orders will be reviewed.

- Los reservados con una antigüedad mayor a 3 meses deberán ser cancelados con excepción de equipos sobre pedido o de venta regular, pero con un número mayor al promedio de venta de unidades. Reserves older than 3 months must be canceled with the exception of equipment on order or regular sale, but with a number greater than the average number of units sold.

- It is necessary that each executive confirm their attendance, since during the meeting they will be asked to sign an attendance sheet.

- In case of not being able to attend, it is necessary that they notify in advance and share the required units and the status of the businesses with reserved merchandise with the Product Control area via electronic mail no later than the date of the Forecast meeting, if this does not happen, for regular sales equipment the availability of the inventory will be subject to stock in our warehouse and for under request equipment, bids and special businesses will be subject to the availability of the CUSA inventory (and will apply extemporaneous urgent orders since we cannot count on the inventory)

2.2 All units shared by the sales area will be reflected within the PSI (Jikkei) that is shared with CUSA at the beginning of the month.

Dealers y EBSS (Enterprise Business Solution Sales)

3. OCE Equipment

3.1 The forecast for OCE machines will be held once a month, which will take place between the 9-11 business days of each month approximately.

3.2 The format of the OCE forecast is pre-established by CUSA / CSA and is shared with them once a month, this must be carried out under the following guidelines:

- The OCE Forecast is shared with CUSA / CSA on a monthly basis, for this each forecasted unit must have a 70% probability of closing business in the following equipment:

  - ✓ VarioPrint
  - ✓ ImagePress
  - ✓ Arizonas
  - ✓ Plotwaves

- The first two months of the forecast are blocked and cannot be modified, for example, for the units of the months of January and February, they must be shared no later than the month of October of the previous year.

- The third month of the forecast can only be modified up to 20%, example if you need to increase or decrease amounts for the month of January, changes should be made maximum in the month of November of the previous year.

- The fourth month of the forecast can be modified up to 50%, if you need to increase or decrease amounts for the month of February, the changes should be made maximum in the month of November of the previous year.

- In the case of Arizona and Colorado machines, the OCE forecast should be captured when it has a 100% probability, since by placing them in the Forecast CUSA / CSA, will assume that the business is already earned and it should be purchased without the possibility of negotiation in case of being canceled.

Purchase

Dealers

1. Canon Equipment

The purchase of equipment will be carried out under the following guidelines:

1.1 For the purchase of equipment and accessories under the name "regular sale" will be considered the average sales, as well as the seasonality of the business and the forecast provided by the sales executives.

1.2 The equipment to be considered within this area are:

- 1435i y 1435iF (Equivalent)
- 42XX (Equivalent)
- 2525 (Equivalent)
- 400iF (Equivalent)
- 500iF (Equivalent)
- 1730i y 1730iF (Equivalent)
- 1335iF (Equivalent)
- C3025i (Equivalent)

- 35XX (Equivalent)
- All previous models with an amount higher than 1000USD will be considered as special businesses / under request (review section of Special Businesses, Tenders and Under Request equipment)

1.3 The purchase of the equipment will be done twice a month as follows:

- PO1 (1° business day of the month)
- PO2 (15° business day of the month)

1.4 The arrival time of the equipment to our warehouse is based on CUSA availability, in the case of having it, the estimated time is 3 weeks once the purchase order has been confirmed by CUSA.

1.5 For the purchase of equipment "Under Request", "Special Businesses" and "Tenders" the following guidelines will be considered:

1.6. The equipment to be considered are:

- Family 55XX (Equivalent)
- Family 65XX (Equivalent)
- Family 85XX (Equivalent)
- Family 75XX (Equivalent)
- LBPS (Equivalent)
- MF (Equivalent)
- All the previous models and regular sale models with a higher amount than 1000USD (they are considered special businesses / under request / Tender)

1.7 For the purchase of these equipment and accessories must have a purchase order signed by the dealer, as well as approval of credit or leasing in the case of sale or special business, in the case of tenders is necessary to have the release letter by the end customer

1.8 The purchase of these equipment will be made once Order Desk receives the purchase order and captures it in the system (that is, it has complied with all the established guidelines, as well as the approval of special conditions or special prices in the case of having them).

1.9 The delivery time of equipment and accessories under request and / or special businesses or bids will be as follows:

a) In the case that CUSA has knowledge of these businesses and has reserved the merchandise for it, it will be in a period no longer than 3 weeks (regular transit).
b) In the case that CAUSA does not have information on these businesses, the delivery time will depend on availability

2. Out of time and Urgent Purchase:

2.1 Air Shipment:

- You must have the quotation of the freight by the Traffic area (We depend on the response times of the Traffic area).
- Once the freight quote is available it is necessary to have the approval of the BISG Administration Director for the cost of the freight (Air or Truck) by email.
- Confirmation by CUSA that the availability of the requested equipment is available,
- Once the points mentioned above have been covered, the delivery time must not be longer than 7 business days
- The deadline to make an urgent purchase is 8 business days before the closing of customs pre-established by the accounting area.

2.2 Truck

- You must have the quotation of the freight by the Traffic area (We depend on the response times of the Traffic area).
- Once the freight quote is available, it is necessary to have the approval of the BISG Administration Director for the cost of freight (Air or Truck) by email.
- Confirmation by CUSA that the items requested are available.
- Once the above points have been covered, the delivery time should not be longer than 10 business days.
- The deadline to make an urgent purchase is 10 business days before the closing of customs pre-established by the accounting area.

EBSS (Enterprise Business Solution Sales)

3. Canon Equipment

3.1 Sale / Rental

The sales executive must make the internal purchase order in the application called Salesforce, which must be approved by his manager and attach the follow information:

3.2 Sale

- ✓ Purchase order signed by the customer.
- ✓ Authorized quotation from the Sales Administration area.
- ✓ In the case of software, the support of the BSDS area (Business Solution Development and Support) and / or equivalent.

3.3 Rental

- ✓ Contract signed by the customer and Canon.
- ✓ Authorized quotation from the Sales Administration area.
- ✓ In the case of software, the support of the BSDS area (Business Solution Development and Support) and / or equivalent.

3.4 Order Desk will make a reserve order according to the request of Salesforce and everything that is in back order that are regular sale equipment or accessories will be considered for purchase according to the following guidelines:

3.4 For the purchase of equipment under the name **"regular sale"**

The equipment to be considered within are:

- 1435i y 1435iF (Equivalent)
- 42XX (Equivalent)
- 2525 (Equivalent)
- 400iF (Equivalent)
- 500iF (Equivalent)
- 1730i y 1730iF (Equivalent)
- 1335iF (Equivalent)
- C3025i (Equivalent)
- 35XX (Equivalent)
- All previous models with an amount higher than 1000USD will be considered as special businesses.

3.5 The equipment will be purchased twice a month as follows:

- PO1 (1° Business day of each month)
- PO2 (15° Business day of each month)

3.6 The arrival time of the equipment to our warehouse is based on the availability of CUSA, in the case of having it, the estimated time is 3 weeks once the purchase order has been confirmed by CUSA.

3.7 For the purchase of equipment and accessories **"Under Request", "Special Businesses" and "Tenders"** the following guidelines will be considered:

The equipment to be considered are:

- Family 55XX (Equivalent)
- Family 65XX (Equivalent)
- Family 85XX (Equivalent)
- Family 75XX (Equivalent)
- LBPS (Equivalent)
- MF (Equivalent)
- All previous models and for regular sale with an amount higher than 1000USD (are considered special businesses)
- Previous or considered regular sale equipment that is part of a tender.

3.8 ***Sale***

- ✓ For the purchase of these equipment we must have a purchase order signed by the customer.
- ✓ Approval by credit or leasing
- ✓ In the case of tenders, it is necessary to have a release letter from the final customer.
- ✓ Authorized quotation from the Sales Administration area.
- ✓ In the case of software, the support of the BSDS area (Business Solution Development and Support) and / or equivalent.

3.9 The delivery time of under request equipment and / or special business or bids will be as follows:

c) In the case that CAUSA has knowledge of these businesses and has reserved the merchandise for it, it will be in a period no longer than 3 weeks (regular transit).
d) In the case that CAUSA does not have information on these businesses, the delivery time will depend on availability.

3.10 In the case of URGENT purchases (review section 2. Late and Urgent purchases)

Dealers y EBSS (Enterprise Business Solution Sales)

4. OCE Equipment

The purchase of equipment will be done under the following guidelines:

4.1 All OCE equipment are considered **"UNDER REQUEST"**

4.2 For the purchase of these equipment we'll consider the next:

- ✓ Signed purchase order and / or contract signed by the customer and Canon.
- ✓ Approval by the credit or leasing area thru e-mail.
- ✓ Approval of the service area validating the configuration and the site.

The models that are classified as under request are:

- Vario Print
- ImagePress
- Plotwaves (No aplica revisón del site)
- ColorWaves
- Color Stream
- Arizonas

4.2 In the specific case of Color Stream, the deadline to receive a purchase order is the month of June in case it is required to install during the current year.

4.3 The equipment delivery time will depend on the availability at CUSA and is based on the previously shared forecast.

5. Arizona Inks

5.1 The purchase of these inks is done through sales average, special businesses that our customers have and we consider any previous shared a forecast.

5.2 CUSA is committed to send us inks with a minimum expiration of 6 months.

5.3 In the case of an ink on request or quantities outside the regular ranges, will be purchased once it has been captured in the system 21 by order desk, the delivery time will depend on the availability of CUSA. Once purchased it cannot be canceled by any customer.

5.4 The delivery time is approximately 7 business days as long as CUSA has processed the order.

5.5 There is no agreement of expiration with customers, Canon is committed to send not expired inks.

CONSUMABLES

1 CANON Consumables

1.1 Canon consumables are purchased according to the regular sales averages.

1.2 If there are requirements for consumables out of the sales average, the applicants will have to notify the Product area in advance of at least 1 month, in order to negotiate availability with CUSA, if there is not enough inventory it will be to consider the partial delivery of the amounts according to the dates that CUSA confirms.

1.3 In the case that an out of time and urgent order is required, please review the section of out of time and urgent orders.

1.4 In the case that service requires consumables (toner, drum or inks), they must send a monthly forecast to the product area so that they can allocate the requested quantities and then service admin can change the warehouse from W2 merchandise (1, 2 or 3) to 1P.

1.5 All consumables orders that are for the service area will have to be dispatched from warehouse 1P.

2 **Consumables OCE**

2.1 OCE consumables are purchased according to the regular sales averages.

2.2 If there are requirements for consumables out of these sales average, the person who request will have to notify Product area in advance of at least 1 month, in order to negotiate availability with CUSA, if there is not enough inventory they will need to consider the partial delivery of the amounts according to the dates that CUSA confirms.

2.3 In the case that an out of time and urgent order is required, please consult the section of out of time and urgent orders.

RETURNS

1.1 In Canon and OCE consumables there is no guarantee, so there are no refunds or physical changes (subject to review in each particular case)

1.2 All guarantees will be solved through the service area, Product Control does not apply guarantees for customers.

1.3 In the case that Order Desk has captured a consumable different from the one requested or an internal member of Canon has sent a different consumable to the one that was required (having all the evidence) then a change will be made for the correct merchandise, according to the guidelines established in the Order Desk policy.

1.4 In the case that the merchandise at the time of delivery by our transport had a damage and has been reported at the time of delivery by the customer, will be returned or physical change (subject to review each case in particular)

1.5 In the event that the merchandise that has been sent has an expired date, it will proceed to the return or physical change of the same.

1.6 In the case of Arizona and OCE toners with expiration dates there is no agreement with any customer regarding the delivery of these consumables with a minimum expiration so these may be sent until one month of expiration.

1.7 The equipment only has a guarantee on spare parts, these cases will be evaluated and attended by the Service area

1.8 In the case of equipment that are under request and OCE equipment there are no returns.

1.9 In the case of equipment that is not under request there are no returns, unless it was due to a mistake on the capture or the equipment presents a failure in its operation which will be evaluated by a specialized technician and the guarantee will be applied by the service area.

STOCK

1.1 The inventory report will be made to inform Dealers and Sales Executives of the availability merchandise, accessories, equipment and consumables from the warehouse of W2-1 (good condition) and of W2-2 (damaged box) and that they can be requested right away.

1.2 The inventory report will be made through the planning which is downloaded from system 21 and which considers what is on back order to consider only what is available.

1.3 The inventory report will be made 3 times a week on Monday, Wednesday and Friday and will be shared in the morning thru Extranet.

1.4 Two types of stock reports will be made:

- ✓ **Merchandise availability**: It is new merchandise and in good condition that is available and will be available on the warehouse W2-1.
- ✓ For this merchandise will not apply any type of discount.

- ✓ **Cosmetic damage availability:** It is new merchandise but with some cosmetic damage such as wrinkled box, broken box, box with some detail of stain and that is in available and which the Warehouse locates it in W2-2.

1.5 The Warehouse must inform the BISG Product Control of the merchandise that have arrived with cosmetic damage through the Rec.23 report to consider it and be able to offer it to sales executives for Dealers or Direct Customers.

1.6 Product Control may offer cosmetic damage merchandise with a discount of 5% off direct on the price list and which will only apply to the merchandise that does not have any type of additional discount, such as promotions or special prices, a confirmation is required from the Dealer in order to allocate the merchandise to them, this due there are no changes or refunds.

1.7 The 5% off discount for cosmetic damage merchandise will only apply for Canon Dealers since for Direct Customers it will not apply any discount. (will be reviewed case by case)

1.8 Product Control must provide the availability stock to Service and Direct Clients thru an e-mail or by telephone.

1.8 The availability stock inventory report should not include service policies, warranty extensions, professional services, Uniflow licenses or equipment that are under request since it is merchandise specially purchased according to the request of the customer and / or sales executive.

BACK ORDER

1.1 The back-order report will be created to inform the Dealers and Sales Executives the estimated time of arrival of the merchandise (equipment, accessories, consumables and licenses).

1.2 The BISG back order report will be created according to the system 21 information in which the ETA of the merchandise arrival will be indicated.

1.3 The back-order report will be made twice a week on Tuesday's and Friday's and will be shared in the afternoon through the Extranet and by email.

1.4 There should be 3 types of back order reports:

- **Dealer Back Order:** This report will indicate the folios that are on back order and the approach ETA of arrival, also it will include all the observations of why it is in back order a folio# for more than 15 days and which is shared with our Director of Sales Administration thru an email.
- Another Back-Order file will be shared with all the Sales Executives and the Manager from Dealers but without the comments part.
- Finally, the 3rd file will be upload on the extranet and we do not share the Dealer name.

Example:

Order	Date	Days in BO	Customer	Item	Item Name	B/O	Monto MXN	Status	Comments
CP266191	26/04/2018	26	SPEED DOCUMENTS S.A. DE C.V.	2778B004AA	TAMBOR GPR-31 DU BK	3	$12,269.20	ETA 28 MAY-01 JUN	We received the customer PO before we placed the PO2 so we requested on May PO1

Example:

Order	Date	Customer	Item	Item Name	B/O	Monto MXN	Status
CP266191	26/04/2018	SPEED DOCUMENTS S.A. DE C.V.	2778B004AA	TAMBOR GPR-31 DU BK	3	12289.2	ETA 28 MAY-01 JUN

Example:

Order	Date	Item	Item Name	B/O	Status
CP266191	26/04/2018	2778B004AA	TAMBOR GPR-31 DU BK	3	ETA 28 MAY-01 JUN

1.5 The date of arrival of the merchandise will always be considered as estimated starting with the confirmation of CUSA, this will be shared with the traffic area so that they can follow up the shipment of the merchandise, as well as the invoice.

1.6 The approach time of arrival of the merchandise will be considered according to the date of purchase to CUSA and according to the physical characteristics of the merchandise as shown below

- For Canon equipment, accessories and consumables, approach 3 weeks are considered if CUSA has availability and has processes the purchase orders.
- For Uniflow licenses and intangible licenses, approach1 week is considered.
- For Arizona Inks, it is considered approach1 week. as long as there is availability in CUSA.
- For OCE equipment and accessories, it will depend on the shipping method that is selected, as well as the availability of CUSA, in the case of not having it depend on the date on which they have inventory.

ALLOCATION OF MERCHANDISE

Once the merchandise has arrived at our warehouse, Product Control must send the merchandise allocation to Order Desk and Service in order to cover the back order registered in System 21 for Dealers and Direct Customers.

The back-order report for the merchandise allocation will be made every day in the morning and must be sent to Order Desk and Service considering all the AA ending code changes or the replacement of a complete mercury code.

The merchandise allocation will be made according to the order date registered in system 21, with the priority to allocate the merchandise to the oldest folios.